J.P.Morgan

Asia Pacific Equity Research
28 April 2026

Jiangsu Hengli Hydraulic - A

1Q26 a strong beat with record revenue, Op-CF and recurring profit surge

Overweight

601100.SS, 601100 CH

Price: Rmb96.94

27 Apr 2026

Price Target: Rmb121.00

PT End Date: 30 Jun 2027

Infrastructure, Industrials & Transport

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We believe Hengli Hydraulic's 1Q26 results mark a decisive return to growth, with revenue growth of 32.5% Y/Y—the highest quarterly pace since 2Q21, when the broader domestic construction machinery sector entered a prolonged downcycle that lasted until mid-2024. The quarter's revenue of Rmb3.2B not only represents a record high for Hengli, but also signals a robust demand recovery across both core and export markets. The 4Q25 miss is now proven to be a non-event, as underlying business momentum has quickly resumed. Management, at a recent meeting, reinforced confidence in the company's underlying business, citing resilient demand, ongoing product upgrades, and a favorable machinery cycle as key drivers for 2026. Recurring profit (excluding FX impact) for the quarter surged 34% Y/Y, highlighting strong operational leverage, while headline profit increased 6% Y/Y, muted by continued FX losses due to unexpected strengthening of RMB vs. USD in the quarter. The quarter's Op-CF rebounded ~935% Y/Y, reflecting improved sales collections and working capital management. It is also worth noting that first-quarter margins are usually the lowest in the year and tend to trend higher in subsequent quarters, based on historical data since 2021. Hence, the GPM in 1Q26, at 38.6%, marks a good start, given strengthening of RMB which affects the USD revenue booking. With margin trends stabilizing in core segments and new business initiatives—such as robotics and automation—progressing, we believe Hengli remains well positioned to extend its market share and deliver sustainable growth. We maintain our OW rating and Rmb121 PT, and see recent sector volatility as an opportunity to add exposure ahead of the upcoming 1Q26 briefing.

- **The record revenue in 1Q26 and highest Y/Y growth since 2Q21 underscore the strong underlying demand recovery and Hengli's market share gains.** Hengli's revenue reached Rmb3,210MM in 1Q26, a new quarterly record, and grew 32.5% Y/Y—the fastest pace since the sector's last upcycle in 2Q21. This performance stands out against a backdrop of volatile industry conditions over the past three years, with the company consistently outperforming peers as the broader construction machinery market moves through a prolonged downcycle. The broad-based recovery in both domestic and export markets, supported by product upgrades and technical enhancements, has enabled Hengli to capture incremental demand and reinforce its market leadership as industry sentiment improves.

- **Recurring profit and Op-CF recovery highlight Hengli's robust underlying profitability and operational discipline.** Recurring net profit (excluding FX impact) surged 34% Y/Y to Rmb829MM in 1Q26,

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while reported net profit increased 5.6% Y/Y to Rmb652MM, with headline earnings impacted by a Rmb205MM FX loss on USD holdings. Op-CF rebounded sharply to Rmb518MM, up ~935% Y/Y from a low base, reflecting improved sales collections and working capital management. These results underscore Hengli's operational leverage and ability to generate healthy cash flow, even as headline profit remains sensitive to FX swings. Management emphasized that the Op-CF drop in prior quarters was a timing issue, and underlying cash collection remains healthy, supporting future liquidity and operational flexibility.

- **Margin trends and new business momentum set the stage for further growth as the year progresses.** Gross margin reached 38.6% in 1Q26, down 0.8ppts Y/Y, mainly due to a drop in non-standard cylinder margins and product mix shifts. However, this is consistent with the company's historical pattern, as GPM in the first quarter typically starts at a lower level and trends higher in subsequent quarters each year. Management continues to highlight progress in new business areas, with robotics, automation, and FA/ball screw all cited as strategic priorities in recent discussions. Notably, Hengli's collaboration with a leading US OEM in robotics is ongoing, with the OEM expecting a major product launch in the summer. Global expansion is underpinned by the ramp-up of Mexico and Indonesia operations, and management remains confident in the outlook for both core and emerging business lines. We expect Hengli to continue to deliver robust revenue growth and extend its market share as new business initiatives scale.

Table 1: Hengli: 1Q26 result summary

In Rmb MMs	1Q26	1Q25	Y/Y	FY26 JPMe	% Achieved
Total revenue	**3,210**	**2,422**	**32.5%**	**13,399**	**24%**
Total cost	**(2,598)**	**(1,644)**	**58.0%**	**(9,933)**	**26%**
COGS	(1,972)	(1,468)	34.3%	(7,783)	25%
Taxes and others	(28)	(27)	4.7%	(120)	23%
Selling expenses	(69)	(58)	19.0%	(298)	23%
Admin expenses	(166)	(137)	21.4%	(755)	22%
R&D expenses	(183)	(149)	23.0%	(796)	23%
Net finance income	(162)	199	nm	(1)	
Interest income	43	40	8.1%	NA	
interest expense	(0)	(0)	nm	NA	
FX gain	(205)	159	nm	NA	
Credit losses	(18)	(5)	278.2%	(46)	38%
Asset impairments	(0)	0		(133)	0%
Other operating income	**122**	**(62)**	**nm**	**283**	**43%**
Net gains from changes in fair value	28	(162)	nm	NA	
Investment income	72	78	-8.2%	176	**41%**
Asset disposal income	1	0	nm	0	1638%
Other	21	22	-4.2%	107	20%
Operating income	**734**	**716**	**2.5%**	**3,749**	**20%**
Non-op income	3	3	11.8%	16	20%
Non-op expenses	(0)	(0)	nm	(28)	1%
Earnings before taxes	**737**	**719**	**2.5%**	**3,377**	**22%**
Income tax expenses	(84)	(100)	-16.6%	(360)	23%
Profit after tax	**653**	**619**	**5.6%**	**3,377**	**19%**
Minority interest	(1)	(1)	-5.6%	(7)	16%
Net profit	**652**	**618**	**5.6%**	**3,370**	**19%**
Recurring net profit (excluding FX impact)	829	620	34%		
Op-CF	**518**	**50**	**934.6%**	**3,117**	**17%**

Source: Company data, J.P. Morgan estimates.

Table 2: Hengli: 1Q26 segmental performance

In Rmb MMs	1Q26	1Q25	Y/Y
By product	**3,210**	**2,422**	**32.5%**
Hydraulic Cylinder	1,482	1,141	29.9%
Excavator Cylinder	784	589	33.1%
Non-standard Cylinder	698	552	26.4%
Hydraulic Pumps & Valves	1,367	1,031	32.6%
Hydraulic System	73	71	3.6%
Foundry parts	267	167	60.1%
GP Margin	**38.6%**	**39.4%**	**-0.8ppts**
Hydraulic Cylinder	36.7%	38.9%	-2.2ppts
Excavator Cylinder	39.3%	38.6%	0.6ppts
Non-standard Cylinder	33.8%	39.1%	-5.3ppts
Hydraulic Pumps & Valves	49.6%	49.5%	0.1ppts
Hydraulic System	36.9%	30.9%	6.0ppts
Foundry parts	4.8%	9.5%	-4.7ppts

Source: Company data.

Investment Thesis

Hengli Hydraulic (Hengli) is a leading supplier of excavator hydraulic cylinders in China, with a market share exceeding 40% and a strong position in the pumps and valves market. The company is well positioned to leverage its leadership in the domestic cylinder market, in our view, with opportunities for further market share gains in segments with relatively low penetration, such as larger-sized excavator cylinders, valves and pumps. Hengli has strategically prioritized business diversification since 2022 to reduce its reliance on excavator products and supply chain concentration within China. The company's expansion into linear motion products, particularly in the humanoid robot and machine tool segments, is expected to contribute to revenue. This aligns with Hengli's strategy to tap into high-growth areas and capitalize on the increasing demand for precision components in advanced manufacturing processes.

Valuation

Our DCF-based Jun-27 PT is Rmb121. The WACC rate used in our DCF analysis is 8.4%, with assumptions as follows: risk-free rate: 3.0%; market risk premium: 6.8%; Beta: 1.0x (based on Bloomberg); after-tax cost of debt: 4.3%; terminal growth: 5%; and target gearing: 25%.

Risks to Rating and Price Target

Key downside risks include: (1) lower-than-expected excavator sales volumes; (2) slower-than-expected market share gains for pumps and valves; (3) a deterioration in GP margin; and (4) escalating trade tensions and higher-than-expected tariffs for China's products.

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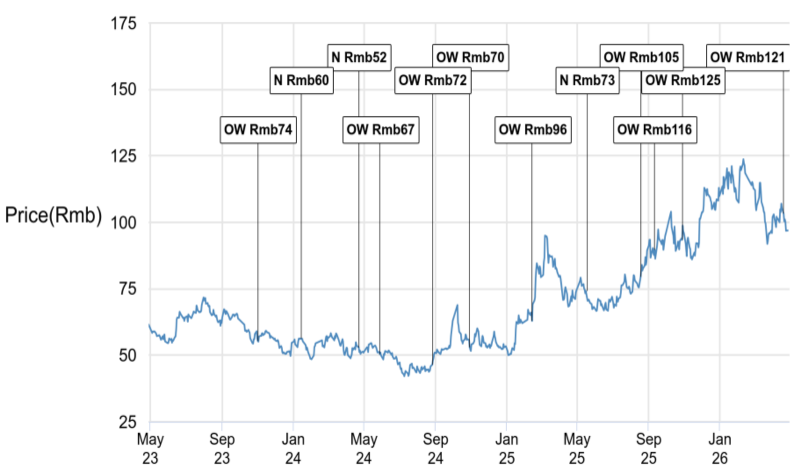
Jiangsu Hengli Hydraulic - A (601100.SS, 601100 CH) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 15, 2019. All share prices are as of market close on the previous business day.

Date	Rating	Price (Rmb)	Price Target (Rmb)
02-Nov-23	OW	55.38	74
15-Jan-24	N	56.25	60
23-Apr-24	N	52.93	52
29-May-24	OW	50.43	67
27-Aug-24	OW	46.48	72
30-Oct-24	OW	53.00	70
14-Feb-25	OW	62.95	96
19-May-25	N	74.20	73
19-Aug-25	OW	79.50	105
12-Sep-25	OW	89.75	116
29-Oct-25	OW	93.45	125
21-Apr-26	OW	103.32	121

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